

steps to maximize it, or is there slack in the system that indicates further upside? Business moats are not static and come with different characteristics—brands, low costs, convenience, and network effects all constitute real but very different moats.

This deep and detailed inside-out research serves multiple purposes. For one, it helps us gain a deep understanding of how the business actually works, as well as the quality of the moat. Two, it helps us understand the trend of the business through the primary levers, which can help us understand whether the moat is shrinking or growing. Three, it facilitates developing a dispassionate analysis based on a foundation of facts versus opinions. This helps eliminate emotions, which are the enemy of rational decision-making. After such extensive analysis, if our security falls in price following our purchase, we will likely feel more comfortable owning more of it. Four, it helps us understand the fragility or “*anti-fragile*” nature of the business, a term coined by author Nassim Nicholas Taleb, to mean one that gets stronger under circumstances where others’ fragility breaks them. The best businesses are anti-fragile; that is, they continue to thrive and even deepen their moats in times of adversity and volatility, such as when competitors get in trouble and their best customers and employees may be up for grabs. Five, it helps us create a base layer of understanding across many businesses and industries, which allows us to triangulate and compound our knowledge over time. This work can create mile markers of expectations and progress that we can compare and as necessary adjust over time. Six, there is great power to a broad-gauged approach in developing perspectives. Coming at this research with outside knowledge and perspective, combined with industry knowledge via these checks, can be a force multiplier.

Performing this detailed research via filings and channel checks enables you to gain comfort in your understanding of the business. Doing thorough work enables an investor to confidently answer some